

TOPIC 7: COMMERCE – THE HEART OF BUSINESS II

1. Divisions of Commerce

Commerce is broadly divided into **Trade** and **Aids to Trade**. Trade itself is divided into Home Trade and Foreign Trade.

2. Home Trade (Internal / Domestic Trade)

Home trade is the buying and selling of goods and services within the same country. It is further divided into:

- **Wholesale trade** – buying goods in large quantities from producers and selling to retailers.
- **Retail trade** – buying from wholesalers (or producers) and selling in small quantities to final consumers.

3. Foreign Trade (International Trade)

Foreign trade is the exchange of goods and services between one country and another. It includes:

- **Import trade** – bringing goods into a country from abroad.
- **Export trade** – sending goods from a country to other countries.
- **Entrepôt trade** – importing goods and then re-exporting them to other countries (often after storage or slight processing).

4. Importance of the Divisions

- Home trade satisfies local needs and supports local producers.
- Foreign trade allows countries to obtain goods they cannot produce and to sell surplus products.
- Entrepôt trade can generate income for countries with good ports and storage facilities.

5. Summary

Commerce consists of trade and aids to trade. Trade is divided into home trade (wholesale and retail) and foreign trade (import, export and entrepôt). Each type plays an important role in the economy.

End of Topic 7